SECOND COMMENT: If we eliminate the debt expense as an asset, which it hardly seems to be, and include the other item in the shareholders' equity (where it would normally belong), then we have a more realistic statement of tangible equity for NVF stock, viz., $2,200,000. Thus the first effect of the deal was to reduce NVF's "real equity" from $17,400,000 to $2,200,000 or from $23.71 per share to about $3 per share, on 731,000 shares. In addition the NVF shareholders had given to others the right to buy 3½ times as many additional shares at six points below the market price at the close of 1968. The initial market value of the warrants was then about $12 each, or a total of some $30 million for those involved in the purchase offer. Actually, the market value of the warrants well exceeded the total market value of the outstanding NVF stock—another evidence of the tail-wagging-dog nature of the transaction.

The Accounting Gimmicks

When we pass from this pro forma balance sheet to the next year's report we find several strange-appearing entries. In addition to the basic interest expense (a hefty $7,500,000), there is deducted $1,795,000 for "amortization of deferred debt expense." But this last is nearly offset on the next line by a very unusual income item indeed: "amortization of equity over cost of investment in subsidiary: Cr. $1,650,000." In one of the footnotes we find an entry, not appearing in any other report that we know of: Part of the stock capital is there designated as "fair market value of warrants issued in connection with acquisition, etc., $22,129,000."

What on earth do all these entries mean? None of them is even referred to in the descriptive text of the 1969 report. The trained security analyst has to figure out these mysteries by himself, almost in detective fashion. He finds that the underlying idea is to derive a tax advantage from the low initial price of the 5% debentures. For readers who may be interested in this ingenious arrangement we set forth our solution in Appendix 6.

Other Unusual Items

1. Right after the close of 1969 the company bought in no less than 650,000 warrants at a price of $9.38 each. This was extraordinary when we